

week 2

LISA'S WATERBED EMPORIUM INC.

Julie Gosse revised this case written by Lisa Davidson under the supervision of Professor Richard Mimick solely to provide material for class discussion. The authors do not intend to illustrate either effective or ineffective handling of a managerial situation. The authors may have disguised certain names and other identifying information to protect confidentiality.

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Lisa had a formidable task ahead of her; she wanted to prepare an income statement, statement of retained earnings and a balance sheet for the year ended or as of September 30, 2022, whichever was appropriate. In order to prepare these statements, Lisa had assembled information from the accountant, the bank and various departments within the company. She had only 50 minutes to complete the work before her meeting and so she began in a fury.

Lisa noted with pride that her company had achieved sales of \$4,870,000, of which only \$1,030,000 had not been collected. To provide this sales level, \$3,300,000 worth of goods had been purchased throughout the year, of which only \$680,000 had not been paid for yet.

At the beginning of the year, Lisa had noted that there was \$820,000 worth of goods in the storerooms and she wondered how much money was invested in the inventory currently on hand.

Lisa thought back to her initial decision to purchase the company and remembered that she had paid \$250,000 over the book value of the company for a number of reasons. The land was listed at \$600,000 and the building and equipment were listed at a cost of \$800,000.

While leafing through the accountant's notes, Lisa surmised that, as of September 30, 2021, accumulated depreciation on the building and equipment was \$100,000. In addition, as of September 30, 2022, marketable securities totalled \$600,000 and outstanding liabilities included notes payable of \$670,000 and the current portion of the long-term debt of \$100,000. Finally, for the fiscal year ending September 30, 2022, general and administrative expenses were \$1,300,000 and the depreciation expense was \$50,000.

While trying to sort through all of the information, Lisa noted from the bank statements that the long-term portion of the mortgage loan was \$1,130,000 and the due to shareholders loans (5 per cent due 2024) were at \$340,000.

Lisa knew she couldn't forget about taxes; the company had incurred an income tax expense of \$80,000 of which \$30,000 was outstanding.

In addition, Lisa wanted to satisfy her shareholders and, therefore, she paid \$30,000 in dividends to the holders of the \$300,000 in common stock.

Finally, Lisa had made some headway; for the year ending September 30, 2022, net income after tax was \$230,000, net operating profit was \$310,000 and gross profit was \$1,660,000; as of September 30, 2022, retained earnings were \$810,000 and total liabilities and shareholder's equity were \$4,060,000.

One last question still plaguing Lisa was how much cash the company had as of September 30, 2022.

Statement of Retained Earnings

Both

Both

Statement of earnings

BS

SOE

BS (goodwill)

BS (Longterm Asset)

BS (Current asset)

BS (Longterm liability)

Operating Expense

Longterm liability

we know longterm bec 2024 is over a year

income statement

- ① with sales or revenues
- ② cost of good sold
- ③ deduct operating expenses
- ④ get operating profit
- ⑤ other income or expense
- ⑥ tax

income Statement Example

Revenue
Sales

\$ 4870

Cost of goods sold

Beg

Inv

COGS

End

COGS

gross profit

Operating expenses

820
3,300
4,120
910
3,210
1,660

General and Admin
Depreciation of express
total operating cost

$$\begin{array}{r} 1300 \\ 50 \\ \hline 1350 \end{array}$$

Shift..

→ make statement of retained earnings

* Cash be first asset listed
on balance sheet

Current Asset

★ Cash first

Current liabilities

LT dept/liability

LT Asset

Common Stock

equity

↑
due
sooner

Should make the balance sheet to practice ★

